ALEXIUS MANYANDA
and
ROSE MUCHANETA MANYANDA
and
PESTANIA INVESTMENTS (PRIVATE) LIMITED
versus
ONE FOUR NINE FINANCIAL SERVICES (PRIVATE) LIMITED
and
MESSENGER OF COURT HARARE

HIGH COURT OF ZIMBABWE
MUNANGATI-MANONGWA J
HARARE, 26 February 2026 & 11 March 2026

Opposed Matter

J T Uchiri, for the applicants
J J Chiramba, for the 1st respondent

MUNANGATI-MANONGWA J: This court granted an application for a declaratory order in terms of s 14 of the *High Court Act [Chapter 7:06*], wherein the applicants sought an order declaring that they have fully discharged the judgement debt and interest owed to the first Respondent in accordance with a Deed of Settlement and Court Order dated 13 September 2025. The Applicants specifically sought the following order:

1. The Application for a Declarator be and is hereby granted.
2. It is hereby declared that the judgement debt plus interest arising from the Order dated 13 September 2025 in Harare Magistrates Court Case Number HRE C-CD 1368/24 was paid in full.
3. The Writ of Execution issued in Harare Magistrates Court Case Number HRE C-CD 1368/24 by the 2" Respondent is declared to have been improperly issued and is hereby cancelled and set aside.
4. The 1st Respondent shall pay the costs of this application.

Despite the relief sought as above this court granted an amended order which reads as follows:

1. The Application for a Declarator be and is hereby granted.

2. It is hereby declared that the judgement debt plus interest arising from the Order dated 13 September 2025 in Harare Magistrates Court Case Number HRE C-CD 1368/24 was paid in full.
3. The 1st Respondent shall pay the costs of this application.

Whilst I delivered an ex tempore judgment, the Respondents requested reasons for my decision and these are they:

The Respondents raised a preliminary point to the effect that a writ of execution cannot be cancelled by the High Court save where it is brought before it on appeal or review. I found merit in that submission and accordingly upheld the point *in limine*. I proceeded to decide the matter on merits having been addressed by the counsel for the parties on the remaining part of the relief sought.

The brief background facts to the application is that first applicant obtained a working capital loan of USD $45,833.33 from the 1st Respondent, with his wife and the company standing as surety. He defaulted, and the First Respondent sued in the Magistrates' Court, where judgment was entered for USD $60,164.39. The parties later signed a Deed of Settlement, which was made an order of court, setting out repayment terms. The first Applicant paid over US $62,151 towards the debt, believing this cleared the capital obligation. Despite these payments, the first Respondent continued charging daily penalties and interest not provided for in the court order. A writ of execution was issued against the 3rd Applicant's property, prompting this application for a declaratory order that the debt has been settled.

The issues for determination are:

1. Whether or not or not the Applicants have fully discharged the judgement debt in terms of the Court Order.
2. Whether or not the Respondent is entitled to continue charging penalties and interest beyond the terms of the Court Order.

LEGAL ANALYSIS

The procedural history of this matter is clear: the parties first negotiated and executed a deed of settlement, which was thereafter presented to the Magistrates' Court and made an order of court. This two-stage process is legally significant and ultimately leads to the conclusion that the original loan agreement no longer governs the parties' relationship.

The underlying principle applies with equal force here: a deed of settlement, once finalized and accepted by the court, becomes the new regulatory instrument between the parties.

The South African Constitutional Court in *Eke v Parsons* [2015] ZACC 30 provided the definitive statement on the status of such an arrangement:

> "Once a settlement agreement has been made an order of court, it is an order like any other. It will be interpreted like all court orders."

The court in *Eke supra* emphasized that the agreement does not remain merely a contract; it acquires the status and force of a judicial order. The parties are thereafter bound by that order, and its terms are enforceable by the state. Furthermore, in *S.A. v J.H.A. and Others* (7531/2020) [2020] ZAWCHC 155; 2021 (1) SA 541 (WCC), the court held:

> "Once a court has made a consent judgment, it is *functus officio* and the matter becomes *res judicata* (literally, 'a matter judged')…"

The consent order in this matter, having been granted by the Magistrates' Court based on the parties' deed of settlement, did not stipulate any ongoing interest or penalties. The original loan agreement's terms regarding interest and penalties were not incorporated into the court order. Consequently, the Respondent's attempt to continue charging interest and penalties from the original agreement is unlawful. Such conduct undermines the binding nature of the court order and impermissibly introduces obligations that were expressly excluded by the court that granted the order. Suffice that the application by the Respondents seeking to vary the order was thrown out by the Magistrates Court.

The Applicants have furnished proof of payments amounting to USD $62,151. This sum fully satisfies the capital debt as defined in the court order that resulted from the deed of settlement. Any execution proceedings that disregard these admitted payments are procedurally defective and unlawful. They misrepresent the true state of the Applicants' indebtedness and, if allowed to proceed, would unjustly expose the Applicants to double liability.

In this context, the legal effect of the consent order, as articulated in *S.A. v J.H.A. and Others supra*, is dispositive. The court further stated:

> "The settlement agreement, and the resultant consent order, disposes of the underlying dispute and any subsequent litigation that may ensue in respect of compliance with the settlement order does not have to traverse the merits of the original underlying dispute."

This means that the original dispute regarding the loan is legally resolved. The court order, born from the deed of settlement, is now the binding instrument that governs the parties' obligations. Any later litigation, such as the execution proceedings at hand, is not about re-arguing the original dispute; it is solely about whether the court order has been complied with. The merits of the underlying loan agreement no longer matter. The only issue is whether the parties have fulfilled the obligations set out in the court order. Since the Applicants have demonstrably satisfied the capital debt as required by that order, the execution proceedings are without legal foundation.

Even if the original loan terms were still relevant, which they are not, they are unenforceable for being exorbitant, oppressive, and contrary to public policy. The loan agreement's terms of 6.75% monthly interest and 0.5% daily penalty are manifestly disproportionate. Such charges are inconsistent with the principles of fairness and proportionality enshrined in the *Contractual Penalties Act* [*Chapter 8:04*] which prohibits penalties that are out of proportion to the actual prejudice suffered. The imposition of these charges after a court-sanctioned settlement not only violates these statutory safeguards but also erodes the authority of judicial orders.

The common law has long provided a remedy against such exploitation. Over a century ago, INNES CJ stated in *Reuter v Yates* 1904 TS 855 at 856:

> "The law of Holland prohibited excessive usury; and the courts of this country, administering that law, will refuse to enforce contracts shown on due inquiry to be usurious and extortionate in their nature. But our law does not in my opinion define any particular rate of interest as being necessarily usurious; it does not fix a limit up to which interest is legitimate and proper, and beyond which it becomes illegal and excessive. That must depend upon the circumstances of each case. Usury is a good defence; the difficulty arises in deciding when a contract is usurious and when it is not. And that difficulty is not to be solved by a mere reference to the rate of interest agreed upon; it requires a careful inquiry into all the circumstances surrounding the transaction which is challenged. And the onus in my opinion is upon the person who sets up the defence, to satisfy the court upon the facts that it is applicable and sufficient."

In the present circumstances, the cumulative effect of a 6.75% monthly interest rate (equating to 81% per annum) coupled with a 0.5% daily penalty (182.5% per annum) is so oppressive that it crosses the threshold into usury and extortion. There is no conceivable prejudice suffered by the Respondent that could justify such charges. To allow them, would be to sanction a windfall for the creditor at the expense of the debtor, a result our courts have consistently refused to countenance.

The Respondent may attempt to argue that because the parties first signed a deed of settlement before it was made a court order, the original loan terms somehow survive or that the deed itself permits the continued charging of interest. This argument must fail for two reasons.

Firstly, as held in *Eke v Parsons supra*, once a settlement agreement is made an order of court, "it is an order like any other." The court does not merely rubber-stamp the agreement; it exercises a judicial function in granting the order. The resulting order stands independently and carries the full authority of the court. The parties cannot thereafter revert to the underlying agreement to import terms that the court order does not contain.

Secondly, the court in *S.A. v J.H.A. and Others supra* made plain that the consent order disposes of "the underlying dispute." The "underlying dispute" includes the entirety of the original loan agreement, including its interest and penalty provisions. To permit the Respondent to resurrect those provisions would be to allow litigation of a dispute that has already been finally determined a classic violation of *res judicata* principle.

Allowing creditors to disregard court orders by imposing arbitrary penalties would erode public confidence in judicial enforcement and the rule of law. Courts must intervene to protect the integrity of their orders, ensure compliance with statutory limits, and prevent creditors from exploiting debtors through unlawful charges. Upholding the sanctity of judicial orders is essential to maintaining the credibility of the justice system and safeguarding the interests of litigants.

For the reasons set out above, the Respondent's attempt to execute for an amount that ignores the Applicants' proven payments, and to resurrect extinguished and unlawful interest and penalties from the original loan agreement, is without merit. The deed of settlement, having been made an order of court, is binding and has been satisfied by the Applicants' payments of USD $62,151.

Accordingly, it is ordered that:

1. The Application for a Declarator be and is hereby granted.
2. The Applicants have fully discharged the judgement debt owed and interest to the 1st Respondent in terms of the Deed of Settlement and Court Order 13 September 2025.

3. The 1st Respondent is to pay the Plaintiff's cost of suit.

MUNANGATI-MANONGWA J ……..

Sawyer and Mkushi, the applicant's legal practitioners
Masamvu & Da Silva Gustavo Law Chambers, the respondent's legal practitioners